Questionnaire: IAG – RAC Insurance

MN-65005

Deadline to respond: 21 October 2026

The Australian Competition and Consumer Commission (**ACCC**) is currently assessing whether Insurance Australia Group (**IAG**)'s proposal to acquire 100% of the shares in RAC Insurance Inc (**RACI**) from the Royal Automobile Club of Western Australia Inc (**RAC**) and enter into a 20-year agreement for RAC to exclusively distribute insurance products underwritten by IAG under the RAC brand (the **Acquisition**) would, taking into account the proposed undertaking below, result in a net public benefit.

For further information about the ACCC's assessment of the Acquisition, see the ACCC's Acquisitions Register.

On 22 September the ACCC determined under section 51 ABZE(1) of the *Competition and Consumer Act 2010* (Cth) (the **Act**) that the Acquisition must not be put into effect. The ACCC made this determination on the basis that the Acquisition, if put into effect, would in all the circumstances, have the effect, or be likely to have the effect, of substantially lessening competition in a market.

On 13 October 2026, IAG applied for a determination from the ACCC under section 51ABZW (1)(a) that the Acquisition would be of net public benefit. IAG and RAC's claimed public benefits arising from the Acquisition are set out in the document titled Summary of IAG/RACI's claimed public benefits, available on the ACCC's Acquisitions Register. The claimed benefits are also listed in the questions below.

IAG's application also included a proposed undertaking under which IAG commits to:

- divest to an ACCC-approved purchaser the 'renewal rights' in respect of its NRMA home and contents and motor vehicle insurance book in WA and, at the option of the purchaser, the SGIO brand
- comply with behavioural commitments including certain key terms in the Distribution Agreement regarding the competitiveness of the RAC brand, obligations regarding dealings with smash repairers, minimum service standards, and expanded insurance availability
- establish a $20 million WA Community Fund, and
- appoint a Compliance Officer and engage an ACCC-approved independent auditor.

The ACCC is required to assess whether the Acquisition, taking into account the proposed undertaking would result, or likely result, in a benefit to the public, and whether the benefit would outweigh the detriment that would result, or be likely to result, from the Acquisition.

The ACCC invites you to provide submissions or information in response to the questions below by 21 October 2026 via email to mergers@accc.gov.au with the title *Submission re: IAG – RAC Insurance.* The ACCC must complete its assessment within strict statutory timelines which also impacts the time available for consultation.

If you would prefer to speak to a member of the ACCC case team, please email mergers@accc.gov.au with the title *Request for call re: IAG – RAC Insurance*. Someone from the case team will contact you to find a suitable time for a call.

Please note that:

- This request is made in accordance with section 51ABZZD(2)(a) and (c) of the Act. This means that while the ACCC may take into account submissions or information received after the due date, it is not required to do so.
- In responding to the questions below or when providing a submission, please highlight and/or mark any confidential information and indicate why the information is confidential (as brief reasons in footnotes in your response or submission, or in a separate document such as the ACCC's confidentiality claims template). The standard terms on which the ACCC accepts confidential information are outlined at the end of this document.

Questions

If you have not previously provided a submission to the ACCC on this matter, please:

1. Provide a brief description of your business or, organisation including any relationships with IAG, RAC and/or RACI.

2. Outline any concerns you have regarding the impact of the Acquisition on competition.

Questions about IAG's public benefit submissions

3. Provide any views you have on the extent and likelihood of IAG's claimed public benefits arising from the Acquisition.

4. Provide any views you have on the extent and likelihood that the Acquisition would lead to:

- reinsurance synergies through IAG's scale, geographic diversification and established relationships with reinsurers
- claims cost synergies resulting from IAG's technical and support functions, including with respect to fraud detection, claims management capability, and
- expense synergies, including from the consolidation of duplicated corporate and technology functions.

Provide a view on whether the above synergies would flow through to RACI and IAG policyholders and/or RAC members and IAG shareholders.

5. Provide any views you have on the extent and likelihood that the Acquisition would benefit RACI policyholders and the broader Australian public by enhancing the financial resilience of RACI, and reduce the risk of RACI requiring government intervention and public resources in response to a major peril event.

6. Provide any views you have you have on the extent and likelihood that the Acquisition would benefit RAC members and the broader WA community by increasing RAC's ability to invest in and expand its community initiatives.

7. Provide any views you have on the extent and likelihood that the Acquisition would result in any other public benefits, including IAG's proposal for RACI insurance products, to be underwritten by IAG, to be available in Northern Western Australia (above the 26th parallel).

Questions about public benefit remedy offer

8. Describe the extent to which the divestiture obligations in Part A of the undertaking (including Schedule 5), requiring IAG to divest IAG's "renewal rights" in respect of its NRMA home and contents and motor insurance book in WA and, at the option of the purchaser, the SGIO brand would address competition detriments associated with the Acquisition and/or provide public benefits.

9. Describe the extent to which the behavioural obligations in Part B (clauses 10-14 inclusive) of the undertaking would address competition detriments associated with the Acquisition and/or provide public benefits.

10. Provide any additional information or comments you consider relevant to the ACCC's consideration of the remedy offer.

Confidentiality of responses

During the ACCC's assessment of a notified acquisition, the ACCC may receive information that is properly regarded as being confidential, and which is provided to the ACCC in confidence. The ACCC is committed to treating this information responsibly and in accordance with the law. The ACCC understands the importance of confidentiality to parties involved in a notified acquisition, as well as to third parties that provide information to the ACCC.

The standard terms on which the ACCC accepts confidential information are:

- there is no restriction on the internal use, including future use, that the ACCC may make of the confidential information consistent with the ACCC's statutory functions
- confidential information may be disclosed to the ACCC's external advisors and consultants on condition that each such advisor or consultant will be informed of the obligation to treat the information as confidential, and
- the ACCC may disclose the confidential information to other third parties if compelled by law or in accordance with section 155AAA of the Act. This includes disclosures made in the performance of official duties or functions, which include transparency requirements which are part of the merger control regime.

For further information on confidentiality, see the ACCC's interim merger process guidelines**.**